



Harmony: Advertising Effectiveness

Technology provider Harmony had made its name by solving an important branding problem for the automotive industry. When the Internet first became popular, independent automobile dealers started building their own websites. Not surprisingly, these websites lacked a consistent look and feel in the way any given automotive brand was presented to consumers. Harmony had stepped in, offering to design all of a manufacturer's dealer websites, thereby ensuring consistency in presentation across the whole brand. Once a manufacturer had agreed to this value proposition, all of its dealers were required to adopt Harmony-designed and -operated websites. By running websites across many dealers and brands, Harmony had gained a deep understanding of consumers' search behavior and how they reacted to different types of advertising.

Paul Rogan, chief data officer at Harmony, had recently succeeded in assembling some of the first auto-industry data that showed the effects of online advertising on vehicle purchases at the individual level. Rogan was getting ready to present the results at a thought-leadership retreat for Harmony's top executive team and a small group of invited guests. The results he was planning to share had wildly exceeded his expectations.

While he prepared his presentation, Rogan reflected on John Wanamaker's famous criticism of marketing: "Half the money I spend on advertising is wasted; the trouble is I don't know which half." Online advertising had made it much easier to measure advertising effectiveness in many industries. However, though ad effectiveness could be tracked when it came to click-throughs and subsequent online purchases, the problem posed by Wanamaker still existed to some degree. First, it was much harder to link online advertising exposure to actual purchases if these purchases happened offline. Second, if the transaction happened through an independent dealer network, linking the advertising to the transaction data became even more difficult.

In recent months Rogan had driven Harmony to achieve breakthroughs in tracking and data integration. Harmony could now observe which car-related advertising individual customers saw online and which vehicle they bought, if any. Harmony had thus closed the loop between online advertising exposure tracking and transaction

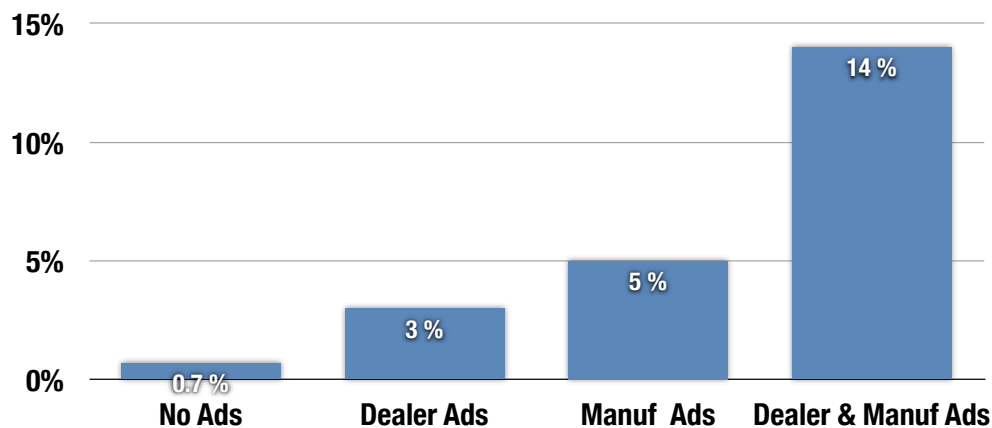
Professor Florian Zettelmeyer prepared this case to provide material for class discussion rather than to illustrate either effective or ineffective handling of a business situation. The names of individuals and the company are disguised.

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records at dealers across a wide variety of different brands. It represented precisely the kind of new measurement gains that Big Data was all about.

On the morning of the second day of the retreat, Rogan began his presentation. He was excited to show the insights that were possible with Big Data. He displayed the following graph and started explaining:

Sales Conversion Rate



“This graph tracks a consumer’s ad exposure on Google and then links it with data showing whether the consumer ended up purchasing a car from one of the thousands of dealerships we track.

Because we also know the ads seen by consumers who did not buy a car, we can measure—on the vertical axis—the sales conversion percentages. In other words, now we can measure what percentage of consumers who saw an ad ended up buying a car.

On the horizontal axis we have different groups of consumers: The group on the left saw no automotive ads. The second group saw ads from dealers only. The third group saw ads from manufacturers only. And then the last group—the one on the right—saw ads from both manufacturers and dealers.

The conversion rate was less than 1 percent for consumers who saw no auto ad. It was around 3 percent for those who saw dealer ads only. For consumers who saw manufacturer ads only, the rate was about 5 percent. But for those who saw both manufacturer and dealer ads, the conversion rate jumped to 14 percent.”

As the executives and guests in the meeting began to digest the information in this graph, the excitement in the room became palpable. Based on precise measures at the individual level, the data showed that exposure to Google ads for vehicles made a really big difference in customers’ purchasing decisions.

In addition, the data showed that manufacturer and dealer ads complemented each other. Rather than crowding each other out, the two types of advertising actually helped

each other become more effective. As Chris Walton, the top sales executive at Harmony, remarked:

“If you look, conversion rates are 3 percent and 5 percent if dealer or manufacturer ads are seen in isolation, but they are around 14 percent if seen together. If I were a dealer or manufacturer, I would really like to know this. They have been worrying for years about whether they have been wasting their advertising dollars. Now we know it is really important to expose consumers to both dealer and manufacturer advertising.”

So far, Matt Klein, Harmony’s CMO, had just been absorbing this new information. But now he started thinking about how he could use these results to sell to manufacturers Harmony’s new capability to link individual-level advertising exposure to transactions.

Preparation questions:

Put yourself in the shoes of Matt Klein, Harmony’s CMO.

1. How would you summarize the lessons about advertising on Google to manufacturers?
2. Could you use Chris Walton’s conclusion to underline the value of this data?